

RACELOGIC LIMITED

7 Brands · 4 Offices · 100+ Countries · UK Vehicle Test & ADAS

Investment Thesis - Foresight Group · Invest. Build. Grow. · Founder Equity Release

Executive Summary

UK SME founder Thomas (33yrs, never taken outside capital) · BPR cap forces window · £7.42m equity centrally in £0.5-15m mandate · 3.86x bull MOIC in-line with Foresight 3.4x avg

£22.7m

FY24 Revenue (CH)

9-yr CAGR 8.2%

£3.5m

FY24 EBITDA (CH)

9-yr mean ~£4.3m

15.3%

FY24 EBITDA Margin

Deepest trough 9yrs

£7.42m

Sponsor equity

Central in £0.5-15m mandate

3.86x

Bull MOIC (5y)

vs Foresight 3.4x avg

COMPANY SNAPSHOT

- Founded 1992 by Julian Thomas in Buckingham. UK group with subsidiaries in USA (Michigan), Germany (Wetzlar), France (Lyon).
- 7 product brands across vehicle test, motorsport, broadcast (AirPixel - Super Bowl LVII 2023), GNSS sim (LabSat), tunnel GPS, indoor positioning, mining.
- 100+ employees globally. 100% in-house design + manufacture + support.
- £2m/year R&D. ISO/IEC 17025:2017 UKAS-accredited calibration.
- CRN 02743719; audited by Rowleys Partnership; FRS 102.
- 9-year BBG track record: £12m FY16 – £24m FY23; 22.7% mean margin pre-FY24.

WHY NOW - INVESTMENT CATALYST

1. FOUNDER TRANSITION - OBSERVABLE

9 SH03 share buybacks 2021-2026 + external CEO MacKie appointed FY24 + 3 directors resigned in March 2026.

2. CYCLICAL ENTRY POINT - SOURCED

ABDP –38%/12M, trading ~8x adj EBITDA. FY24 margin 15.3% concentrated in 3 of 7 brands (auto). Non-auto follow different cycles.

Company Overview

33-year-old founder-led international platform · UK HQ + 3 overseas subsidiaries · Net-cash positive throughout · ISO/IEC 17025:2017 accredited

HISTORY

- 1992: Founded by Julian Thomas in Buckingham (motorsport electronics specialist)
- 1993: RACELOGIC Traction Control - Aston Martin & Rolls-Royce first customers
- 2000: US Govt switches off GPS scrambling – first VBOX launches
- 2006: German office opens in Weilburg; DriftBox + PerformanceBox launched
- 2023: AirPixel supports live broadcast of Super Bowl LVII
- Oct 2021–Mar 2026: 9 SH03 share buybacks - observable cap-table activity
- FY24: Graham MacKie appointed external CEO; signs FY24 accounts
- Feb 2026: VBOX PRO flagship launched

OPERATING SIGNATURE

- 100% in-house: design + manufacture + support
- £2m/year R&D spend (company-stated)
- ISO/IEC 17025:2017 UKAS-accredited calibration (cert with every VBOX/LabSat)
- Free lifetime support (calls 30s, emails 3h)
- 20%+ of staff hold racing licences (endurance racing programme since 2022)
- Geographic revenue (CH Note 3 FY24): Asia 33%, Americas 30%, Europe 26%, UK 7%

INTERNATIONAL FOOTPRINT

UK - Buckingham HQ (CRN 02743719)
Unit 10-11 Swan Business Centre, Osier Way, MK18 1TB

USA - Novi, Michigan (Detroit corridor)
40000 Grand River Ave - heart of US OEM customer base

Germany - Wetzlar (near Frankfurt)
Schanzenfeldstr. 2 - German OEM access (BMW, VW, Daimler)

France - Saint-Quentin-Fallavier (Lyon)
Continental Europe sales & support

OWNERSHIP & CATALYST

- Julian Thomas - sole PSC (>50%, <75%); DOB Jul-1968 (age 57)
- Two share classes: Ordinary + B Ordinary
- No external PE/VC on cap table - clean founder-held
- Operating CEO: Graham MacKie (signs FY24 accounts 26-Sep-2025)
- 9 SH03 share buybacks 2021-2026 - observable cap-table grooming
- Mar 2026: 3 officers resigned same day + SH03 buyback
- April 2026 BPR cap: Thomas in direct cohort

Product Portfolio - 7 Distinct Brands

Multi-vertical platform · vehicle test + motorsport + broadcast + GNSS sim + tunnel + indoor + mining · Diversification softens automotive cyclicality

01

VBOX AUTOMOTIVE

Vehicle dynamics + brake test + tyre testing for OEMs. UKAS-accredited. Core automotive R&D customer base.

02

VBOX MOTORSPORT

Lap timers, predictive lap, video data loggers. F1 teams, NASCAR, WEC. De facto industry standard.

03

LABSAT

GNSS simulators - record live-sky satellite signals, replay in lab. CAN/digital sync. Test centres + chip designers.

04

AIRPIXEL

Broadcast camera tracking for AR/virtual production. Used at Super Bowl LVII (2023). Studio + wide-area.

05

TUNNELSAT

Tunnel GPS - extends satellite navigation underground. Real-time positioning in covered infrastructure.

06

VBOX POSITIONING

Indoor / GPS-denied 3D positioning at $\pm 2\text{cm}$ accuracy. Industrial + facility applications.

07

VBOX MINING

GPS for mining vehicles - tyre/fuel/maintenance optimisation. Global mining sector.

Competitive Positioning - Who's Who

Public peers explained · Private peers landscape · Where Racelogic sits in the global vehicle test/ADAS instrumentation universe

PUBLIC PEERS - LISTED COMPARABLES

AB DYNAMICS

ABDP LN (UK public)

Closest peer. Makes track-test robots + soft-pedestrian/car ADAS targets + driving simulators (Ansible Motion).

£259m mkt cap · ~8x adj EBITDA ·
-38%/12M

HORIBA

6856 JP (Japan public)

Japanese measurement giant. Owns HORIBA MIRA (UK vehicle test). Engine emissions + semiconductor test instruments.

¥1.1tn mkt cap · 9.7x EV/EBITDA

HEXAGON

HEXAB SS (Sweden public)

Swedish industrial measurement. Owns VI-grade (driver-in-loop sim). Manufacturing intelligence + Geosystems.

SEK 235bn mkt cap · P/E 10.8x

SPECTRIS

SXS LN (UK - TAKEN PRIVATE)

UK measurement instruments. £1.3bn revenue. TAKEN PRIVATE by MI Metron (KKR/Advent-style sponsor) Jul 2025.

Private 2025 - recent precedent transaction

PRIVATE PEERS - RACELOGIC COMPETES WITH

VEHICLE DYNAMICS HARDWARE (Racelogic core)

Anthony Best Dynamics (now part of ABDP), Kistler Instruments (Swiss)

GNSS SIMULATION (LabSat core)

Spirent Communications (UK), Rohde & Schwarz (German)

DRIVER-IN-LOOP SIMULATION (overlap)

VI-grade (Hexagon-owned), dSPACE (German private), Vector Informatik (German private)

ADAS SOFTWARE / CFD (potential B&B targets)

Claytex (UK private), TotalSim (UK private), IPG Automotive (German private)

WHERE RACELOGIC SITS

NICHE SPECIALIST, NOT CATEGORY LEADER

Racelogic at £22.7m revenue is 1/5 the size of ABDP (£111m FY24); 1/55 of Spectris (£1.3bn).

MARGIN PROFILE BEATS PUBLIC PEERS

64.4% gross margin > ABDP 62.0% (BBG May 2026). Software-rich for the segment.

BRAND DOMINANCE IN MOTORSPORT TIMING

30+ year VBOX brand = de facto standard in motorsport; OEM-accepted for brake/dynamics certification.

STRATEGIC EXIT BUYERS NAMED

ABDP (£80m+ M&A since 2019), HORIBA, Hexagon, Spectris (now PE-owned) all acquirers in 5y.

Market Analysis

ADAS regulatory tailwind structural · Sector de-rated 38% on EV cycle · 8x adjusted EBITDA comp anchor sourced

-38.5%

ABDP 12M total return

Sector de-rated

9.7x

HORIBA EV/EBITDA (BBG)

Exit anchor base case

~8x

ABDP adj EBITDA basis

Entry anchor - no premium

STRUCTURAL TAILWINDS

- EURO NCAP 2025-2030: expanding ADAS test mandates
- UN R157 - Type Approval for L3 lane-keeping
- GSR Phase 2 - EU general safety regulation mandates ADAS features
- BSI PAS 1881 - UK CAV testing specs
- Each new regulation = new VBOX hardware demand

INDUSTRY DISLOCATION

- Western OEM R&D compression on slow EV adoption (directors' report)
- ABDP sector peer -38% in 12M; fwd P/E ~13x
- Spectris taken private 2025 by MI Metron - sponsor appetite confirmed
- Asian OEM ADAS spend continues - Racelogic Asia +£530k FY24
- ABDP acquired Ansible Motion £31.2m (2022) + £80m+ M&A - serial consolidator

Why now

Entry at cyclical low; recovery captured in 5-yr hold; mandate demand intact.

ABDP comp

ABDP at 8x adjusted EBITDA = entry parity.
No control premium.

Diversification

Broadcast + sports TV + tunnel + indoor
expand TAM beyond automotive.

B&B universe

Claytex, TotalSim, control software -
fragmented UK simulation peers.

Foresight Alignment & Competitive Positioning

Mapped to FGHL AR25 + press release Jul 2025 · Active SME mandate £0.5-15m · Published sector list endorses asset class

FORESIGHT AR25 - RACELOGIC ALIGNMENT

ACTIVE DEPLOYMENT (press 2025)

£0.5m-£15m typical cheque · £200m+/yr SME · £1bn 5-yr plan

Racelogic £7.42m sponsor equity = central in active band

PUBLISHED SECTOR FOCUS (press 2025)

Foresight names: 'advanced manufacturing' + 'digital and technologies'

Both directly describe Racelogic (in-house mfg + software-led instrumentation)

FOUNDER PROFILE FIT (Claire Alvarez quote)

'Many businesses we back have never worked with an investor before'

Thomas: 33 yrs running Racelogic, zero outside capital. Direct fit.

INVEST. BUILD. GROW. (Foresight brand)

Three-pillar framing maps Racelogic value-creation plan 1:1

VERIFIED PRECEDENTS - AR25 PORTFOLIO

HSL - Hospital Services Limited (Exit 2024, AR25 p.19)

Belfast medical equipment distribution. £9.4m invested 2015-2023.

Exit returns 2.5x-8.5x across 4 funds. Revenue grew 7x to £60m.

KINGSBRIDGE (Exit FY25, AR25 p.18)

Largest private hospital group in NI. AR cites 'exceptional returns'.

ALAN WOOD & PARTNERS (Apr 2026)

Hull engineering consultancy, 58 yrs old, 100+ staff. Tavia Sparks led.

ABL HEALTH (Exit FY25, AR25 p.18)

Community wellbeing services. 4.1x cash-on-cash return.

PUBLIC COMP MULTIPLES - BBG MAY 2026

- ABDP LN ~8x ADJUSTED EBITDA · 6856 JP (HORIBA) 9.7x T12M
- HEXAB SS · SXS LN TAKEN PRIVATE 2025 by MI Metron
- BBG-reported ABDP 27.8x on depressed GAAP - adjusted basis is PE-comp standard
- Racelogic entry 8x = ABDP parity; no control premium (equity release)

TRACK RECORD BENCHMARK (AR25 P.18)

- Foresight Growth & Buyout AVG exit multiple since 2010: 3.4x
- Racelogic base case 2.79x = BELOW track record (conservative)
- Racelogic bull case 3.86x = IN-LINE with track record
- Bear 1.91x still delivers ~£14m to Foresight (downside protected)

Financial Performance

9-year BBG history · Net cash positive 9 of 9 years · Mirrors Foresight's own 'operates without leverage' posture (AR25 p.25)

9-YEAR HISTORY (BLOOMBERG)

FY	Rev	EBITDA	Margin	Op Inc	Empl
FY16	12.42	3.33	26.8%	2.98	78
FY17	16.80	4.32	25.7%	3.92	85
FY18	18.25	4.63	25.4%	4.39	93
FY19	18.89	4.78	25.3%	4.54	97
FY20	14.35	2.64	18.4%	2.41	98
FY21	18.26	4.31	23.6%	4.06	102
FY22	19.68	4.24	21.6%	4.01	111
FY23	24.16	5.60	23.2%	5.35	116
FY24	22.68	3.47	15.3%	3.08	122

CYCLICAL PATTERN - KEY READS

PRE-COVID MEAN (FY16-FY19): 25.6% margin

Stable 25-27% across 4 years; COVID dip recovered by FY23

FY24 TROUGH: 15.3% - NEW LOW

DEEPER than COVID-era 18.4% - Western OEM EV R&D compression

BUT: trough concentrated in automotive (3 of 7 brands)

Non-automotive brands (AirPixel/TunnelSat/Mining) different cycles

9-YR MEAN: 22.7% - Y5 target 21% conservative

CAPITAL STRUCTURE - CULTURAL FIT

- Racelogic: £0 long-term debt for 9 consecutive years (CH + BBG)
- FGHL AR25 (p.25): 'we continue to operate the business without any need for leverage'
- Both Foresight Group + Racelogic operate debt-free - cultural alignment
- FY24 cash £3.24m; net assets £10.27m
- Two share classes: Ordinary + B Ordinary (CH Note 19)
- Charges register: priority DD item

CASH FLOW QUALITY

- Cash from ops £4.64m FY24 - UP YoY despite EBITDA -38%
- 117% cash conversion (CFO/EBITDA, CH Note 1 to CF stmt)
- Working capital RELEASED £1.17m on inventory unwind
- Dividends paid £2.39m FY24 - absorbed cleanly
- Effective tax 12.1% (9-yr avg ~10%) - R&D enhanced deduction
- £2m/yr R&D spend; capex 2.9% - asset-light

Value Creation Plan

5 operational levers · Target EBITDA 15.3% → 21% · Diversification across 7 brands de-risks the recovery story

01

MARGIN RECOVERY

15.3% → 21%

- Cyclical recovery toward 9-yr mean (22.7%) - Y5 target BELOW historic.
- Western OEM R&D normalisation + Asia growth + admin discipline.
- Each 100bps margin = £290k EBITDA at Y5.

02

BRAND PORTFOLIO

Non-auto growth

- AirPixel (broadcast, Super Bowl reference) - separate cycle.
- TunnelSat + VBOX Mining + VBOX Positioning - independent cycles.
- Diversification reduces single-market concentration.

03

INT'L EXPANSION

Geographic scale

- 4 existing offices: UK + USA + DE + FR.
- Expand US footprint - Detroit OEM corridor presence.
- Asia direct presence (currently distributor-led).

04

BUY-AND-BUILD

2-3 add-ons

- Claytex (Modelica sim, ~£5-10m) - capability tuck-in.
- TotalSim (motorsport CFD, ~£3-8m) - adjacent customer base.
- ABDP-Ansible precedent (£31.2m, 2022).

05

MULTI-ROUTE EXIT

5-yr horizon

- Strategic: ABDP (£80m+ M&A since 2019), HORIBA, Hexagon.
- Secondary PE: Inflexion, LDC, Apiary, NorthEdge.
- Take-private precedent: Spectris/MI Metron 2025.

Transaction Overview & Returns

From Thomas 100% pre-deal → Foresight 35% / Thomas 65% post-deal → Y5 exit · Base 2.79x / Bull 3.86x bracket Foresight 3.4x avg

DEAL STRUCTURE FLOW - PRE-DEAL → AT CLOSE → POST-DEAL → Y5 EXIT

1. PRE-DEAL

Julian Thomas (Founder): 100%
Net cash £3.24m
EV £27.7m at 8.0x adj EBITDA
Equity value ~£31m

2. AT CLOSE

Sources £31.82m:
Debt £10.4m + Rollover £14m + Foresight £7.42m
Thomas takes ~£17m cash
Thomas rolls £14m into NewCo

3. POST-DEAL CAP TABLE

Foresight: 34.6%
Thomas: 64.3%
£10.4m senior debt on balance sheet
5-yr hold + B&B + margin recovery

4. EXIT (Y5, BASE)

Y5 EBITDA £6.08m at 21% margin
Exit at 9.5x = EV £57.8m
Net debt £0 (paid off via sweep)
Exit equity £59.8m (total)

SOURCES OF FUNDS (£m)

Acquisition debt (3.0x LTM)	£10.40m (32.7%)
Founder rollover (Thomas)	£14.00m (44.0%)
Foresight sponsor equity	£7.42m (23.3%)
TOTAL	£31.82m (100%)

FORESIGHT RETURNS - BASE CASE (5y)

Entry EV / LTM adj EBITDA	8.0x
Foresight equity in	£7.42m
Y5 EBITDA × Exit 9.5x = Exit EV	£57.8m
Exit equity (debt = 0)	£59.8m
Foresight share (34.6%)	£20.71m

BEAR CASE

7.0x × 19% margin

1.91x

MOIC

~14%

IRR (5y)

Margin partial recovery

BASE CASE

9.5x × 21% margin

2.79x

MOIC

22.8%

IRR (5y)

Survives partial recovery

BULL CASE

12.0x × 23% margin

3.86x

MOIC

~31%

IRR (5y)

In-line with 3.4x avg (AR25)

Investment Thesis

5 pillars: BPR catalyst · diversified platform · cyclical asymmetry · ADAS+broadcast tailwinds · Invest. Build. Grow. mandate fit

1. BPR CLIFF CATALYST

- Layered: 9 SH03 buybacks + MacKie as CEO + Mar-26 board cleanup
- Verified macro driver, not company-specific speculation

2. DIVERSIFIED PLATFORM

- 7 brands across vehicle test, motorsport, broadcast, tunnel, indoor, mining
- 4 international offices: UK + US (Detroit) + DE (Frankfurt) + FR (Lyon)
- AirPixel = Super Bowl LVII 2023 reference customer
- Non-automotive brands shield FY24 cyclical concentration

3. MARGIN ASYMMETRY

- FY24 15.3% margin = BELOW even COVID-era 18.4%
- 9-year mean margin 22.7%; pre-COVID 25.6%
- Y5 target 21% = BELOW 9-yr mean - conservative
- Bull 23% margin = in-line with 9-yr mean

4. TAILWINDS ACROSS BRANDS

- AUTOMOTIVE: Euro NCAP 2030, UN R157, GSR2, PAS 1881
- BROADCAST: AR/virtual production adoption growing
- MINING: fleet optimisation cycle (commodity-driven)
- INFRASTRUCTURE: tunnel safety + GPS-denied applications

5. INVEST. BUILD. GROW.

- £7.42m central in £0.5-15m active mandate (press 2025)
- 'Advanced mfg + digital & tech' = Foresight's own sector list
- Thomas 33yrs / zero outside capital = first-time-PE profile
- HSL 2.5-8.5x · Kingsbridge · Alan Wood · Bull 3.86x vs 3.4x avg
- Equity-release entry + multi-route exit = FY29 deployment plan

Go / No Go

✓ RECOMMENDATION: PROCEED

STRENGTHS

- £7.42m equity centrally in Foresight £0.5-15m active mandate (press 2025)
- Foresight's own sector list names 'advanced mfg + digital & technologies'
- Thomas 33yrs / zero outside capital = first-time-PE founder profile
- 7-brand portfolio (UK+US+DE+FR) softens automotive cyclical
- Verified Foresight precedents: HSL 2.5-8.5x · Kingsbridge · Alan Wood (Sparks)
- Bull 3.86x in-line with Foresight 3.4x avg exit (AR25 p.18)
- Racelogic net cash mirrors Foresight 'no leverage' posture (AR25 p.25)

RISKS & CONCERNS

- Buckingham = South East (Foresight marketing 'mostly outside London + SE')
- Revenue £22.7m just above stated £20m typical band (AR25 p.17)
- Customer concentration NOT disclosed in CH (priority DD #1)
- Base case 2.79x BELOW Foresight 3.4x track record (bull req. for in-line)
- VBOX PRO launch Feb-26 - partial counter to harvest read
- Cap-table grooming visible but founder intent UNCONFIRMED
- Brand-level revenue split UNVERIFIED (DD priority)
- FY24 trough may not be the floor (FY25 results ~Jun-26)

PRIORITY DILIGENCE ITEMS

- Customer concentration (top 10 + contract values)
- Revenue split by brand (7 brands - material to thesis)
- B Ordinary share class rights, holders, rollover mechanics
- Subsidiary structure: USA + Germany + France entities (CH Note 12)
- CH charges register (verify no undisclosed debentures)
- Related-party transactions Note (overseas inter-co)
- Julian Thomas direct engagement signal (any approach made)

NEXT STEPS

PROCEED

PITCH POSTURE: lead with 'first-time-PE founder' + £0.5-15m mandate fit

STRUCTURE: significant minority ~35%; £14m founder rollover; bilateral